

Introduction to NFT

What They Are, How They Work, and Why They Matter

By Samuel Je Christian · Web3 Corner Date: March 2026

Executive Summary

Everyone has heard of NFTs. Almost nobody understands them. In 2021, the world was fixated on million-dollar JPEGs, but they were missing the point. NFTs were never really about the image; they were about **proof of ownership in the digital world**.

In 2026, the hype is gone. What's left is the technology—and it's more useful than ever.

1. What Does NFT Actually Mean?

NFT stands for **Non-Fungible Token**.

- **Fungible (Interchangeable):** One dollar equals another dollar. One Bitcoin equals another Bitcoin. They are identical in value and can be swapped.
- **Non-Fungible (Unique):** One NFT does NOT equal another NFT. Each one is one-of-a-kind.

An NFT is a unique digital certificate stored on the blockchain—proving that **YOU** own a specific digital asset. Think of it like a **deed to a house**. The house is the asset; the NFT is the legal proof you own it.

2. How Does an NFT Actually Work?

Every NFT is created through a process called **minting**.

1. **Create a Digital File:** Any digital format works (image, video, music, game item, or document).
2. **Mint on the Blockchain:** This writes the NFT onto the blockchain, giving it a unique ID and ownership record. This requires a small fee called a *gas fee*.
3. **On-Chain Recording:** The blockchain stores the creator, the owner, and every transaction history. This record is public, permanent, and tamper-proof.
4. **Trade or Hold:** Sell on marketplaces like OpenSea or Magic Eden, or hold it in your private wallet.

Important Note: The NFT is NOT always the file itself. In most cases, the NFT contains a link to the file. The NFT is the **proof of ownership** stored on-chain.

3. What Makes an NFT Valuable?

1. **Ownership:** Digital items can be truly owned for the first time—not just licensed or copied.
2. **Scarcity:** Most collections are limited (e.g., 10,000 units). Rarity drives value.
3. **Utility:** In 2026, the most valuable NFTs offer real benefits—game assets, event access,

membership perks, and royalties.

4. **Community:** Strong projects build strong communities, which in turn drive demand.

4. Types of NFTs in 2026

- **Art NFTs:** Digital paintings, illustrations, and generative art.
- **Collectible NFTs:** Digital trading cards (e.g., Bored Ape Yacht Club, CryptoPunks).
- **Gaming NFTs:** In-game items, skins, and land that players truly own.
- **Music NFTs:** Limited music releases sold directly to fans without labels.
- **Ticket NFTs:** Verifiable event tickets to eliminate fakes and scalping.
- **Real-World Asset (RWA) NFTs:** Tokenized property deeds, bonds, and physical collectibles.

5. Where to Buy and Sell

To get started, you need a crypto wallet (MetaMask, Trust Wallet) and some ETH or SOL for gas fees.

- **OpenSea:** The original, beginner-friendly marketplace.
- **Magic Eden:** Currently the largest by volume; excellent for gaming and Solana NFTs.
- **Blur:** Designed for advanced traders with lower fees.
- **SuperRare / Foundation:** Curated platforms for high-end digital art.

6. Risks to Consider

- **Speculation:** Most NFTs lose value. Do not invest money you cannot afford to lose.
- **No Intrinsic Value:** An NFT is only worth what someone else is willing to pay for it.
- **Scams:** "Rug pulls" and fake collections are common. Always verify contract addresses.
- **Gas Fees:** Transaction costs can spike during peak network activity.

7. Market Snapshot (March 2026)

- **Market Cap:** Above \$3 Billion
- **Monthly ETH Volume:** ~\$720M
- **Gaming Interest:** Up 52% Year-over-Year
- **Active Wallets:** 42% of 2022 peak (The "Diamond Hands" remain)

Final Summary

An NFT is digital proof of ownership—stored permanently on the blockchain, verifiable by anyone, and transferable without permission from any company.

It's not about the JPEG. It's about what it represents.

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